ACC501 - Business Finance: Final Term Study File

Lectures 23–45

Quranic Motivation

> *“Insaan ke liye wahi kuch hota hai jis ke liye woh khud mehnat aur koshish karta hai.”* ***Reference:*** *Surah An-Najm, Ayah 39*

Author: ZB ZAIB
Contact: +92 300 5427579 / 03435583148

Introduction

This file is a purely conceptual guide for ACC501 Lectures 23–45, based strictly on the official LMS handouts. Every lesson is explained separately and briefly in simple English, focusing on concepts rather than memorization. Each concept is followed by a daily life example to ensure a 4.0 CGPA level of understanding.

Author: ZB ZAIB

Lesson 23: Cash Flow and Financial Planning

In the name of Allah.

Concept: Cash flow is the movement of money in and out of a business. Financial planning involves estimating these flows to ensure the business has enough cash to operate. **Daily Life Example:** Imagine you get a monthly pocket money of Rs. 5,000. If

you plan how much to spend on food, travel, and savings so you don't run out of money before the month ends, you are doing financial planning.

Author: ZB ZAIB

Lesson 24: Valuation of Stocks

In the name of Allah.

Concept: Stock valuation is finding the "fair price" of a company's share. It depends on the future dividends the company will pay and the growth rate of those dividends. **Daily Life Example:** If you buy a fruit tree, its value depends on how many fruits it will give you every year and if the number of fruits will increase as the tree grows.

Author: ZB ZAIB

Lesson 25: Dividend Discount Model (DDM)

In the name of Allah.

Concept: This model calculates the price of a stock by discounting all future dividends back to their present value. **Daily Life Example:** If a friend promises to give you Rs. 100 every year forever, you wouldn't pay Rs. 10,000 for that promise today because money in the future is worth less than money today. DDM helps find that exact today's value.

Author: ZB ZAIB

Lesson 26: Net Present Value (NPV)

In the name of Allah.

Concept: NPV is the difference between the market value of an investment and its cost. If NPV is positive, the investment creates value. **Daily Life Example:** If you spend Rs. 1,000 to fix an old bike and then sell it for Rs. 1,500, your "NPV" is Rs. 500. It was a good "investment."

Author: ZB ZAIB

Lesson 27: Payback Period

In the name of Allah.

Concept: The payback period is the time it takes for an investment to generate enough cash to recover its initial cost. **Daily Life Example:** If you buy a juice machine for Rs. 10,000 and it earns you Rs. 2,000 profit every month, the payback period is 5 months.

Author: ZB ZAIB

Lesson 28: Internal Rate of Return (IRR)

In the name of Allah.

Concept: IRR is the discount rate that makes the NPV of an investment zero. It is the "break-even" interest rate of a project. **Daily Life Example:** If you invest in a business that gives you a 15% return, and the bank loan for that business costs you 10%, your IRR (15%) is higher than the cost, so it's a good deal.

Author: ZB ZAIB

Lesson 29: Profitability Index (PI)

In the name of Allah.

Concept: PI is the ratio of the present value of future cash flows to the initial investment. If PI > 1, the project is acceptable. **Daily Life Example:** For every 1 Rupee you spend, if the business gives you back 1.2 Rupees in today's value, the PI is 1.2.

Author: ZB ZAIB

Lesson 30: Capital Budgeting Process

In the name of Allah.

Concept: This is the process of choosing which long-term assets (like machinery or buildings) to buy. It is the most important decision for a financial manager. **Daily Life Example:** A family deciding whether to buy a car or a house is like a company doing capital budgeting. They look at the long-term benefits and costs.

Author: ZB ZAIB

Lesson 31: Project Cash Flows

In the name of Allah.

Concept: When evaluating a project, we only look at “incremental” cash flows—the extra money that comes in or goes out *only* because of that project. **Daily Life Example:** If you start selling fries at your existing burger shop, the extra money you make from fries is the project cash flow. You don’t count the burger sales you were already making.

Author: ZB ZAIB

Lesson 32: Sunk Costs and Opportunity Costs

In the name of Allah.

Concept: Sunk costs are past expenses that cannot be recovered and should be ignored. Opportunity costs are the benefits you give up by choosing one option over another. **Daily Life Example:** If you spent Rs. 500 on a movie ticket but then realize the movie is bad, the Rs. 500 is a sunk cost. The opportunity cost of staying is the 3 hours you could have spent studying.

Author: ZB ZAIB

Lesson 33: Risk and Return

In the name of Allah.

Concept: There is a direct relationship between risk and return. To get a higher return, you usually have to take a higher risk. **Daily Life Example:** Keeping money in a locker is low risk but zero return. Investing in a new startup is high risk, but you could double your money.

Author: ZB ZAIB

Lesson 34: Diversification

In the name of Allah.

Concept: Diversification means spreading your investments across different assets to reduce risk. “Don’t put all your eggs in one basket.” **Daily Life Example:** If you invest in both an ice cream shop and an umbrella shop, you are safe in both summer and rainy seasons.

Author: ZB ZAIB

Lesson 35: Systematic and Unsystematic Risk

In the name of Allah.

Concept: Systematic risk affects the whole market (like inflation). Unsystematic risk affects only one company (like a strike in a factory). **Daily Life Example:** A sudden increase in petrol prices is a systematic risk for all transporters. A driver getting sick is an unsystematic risk for just one taxi owner.

Author: ZB ZAIB

Lesson 36: Cost of Capital (WACC)

In the name of Allah.

Concept: WACC is the average interest rate a company pays to its investors (both debt holders and shareholders) for using their money. **Daily Life Example:** If you borrow half the money for a shop from a bank at 10% and take the other half from a partner who wants 20%, your average cost (WACC) is 15%.

Author: ZB ZAIB

Lesson 37: Financial Leverage

In the name of Allah.

Concept: Leverage is using borrowed money (debt) to increase the potential return on an investment. It acts like a lever to lift profits. **Daily Life Example:** If you buy a house

for Rs. 10 lakh using Rs. 2 lakh of your own and Rs. 8 lakh loan, and the house price rises by 10%, your own Rs. 2 lakh has actually grown much more in percentage.

Author: ZB ZAIB

Lesson 38: Capital Structure (M&M Theory)

In the name of Allah.

Concept: This theory discusses whether the value of a firm changes if we change the mix of debt and equity. In a perfect world (no taxes), it doesn't matter. **Daily Life Example:** Slicing a pizza into 4 pieces or 8 pieces doesn't change the size of the pizza. Similarly, how you divide the company's value between debt and equity doesn't change the total value (in a perfect world).

Author: ZB ZAIB

Lesson 39: Bankruptcy Costs and NWC

In the name of Allah.

Concept: Bankruptcy costs are the legal and administrative expenses when a firm cannot pay its debts. Net Working Capital (NWC) is Current Assets minus Current Liabilities. **Daily Life Example:** If a shopkeeper cannot pay his suppliers, he might have to close the shop and pay lawyers to settle the case—those are bankruptcy costs.

Author: ZB ZAIB

Lesson 40: Operating and Cash Cycles

In the name of Allah.

Concept: The operating cycle is the time from buying inventory to getting cash from customers. The cash cycle is the time between paying for inventory and receiving cash. **Daily Life Example:** If you buy clothes to sell, the time from buying them to selling them is the inventory period. The time from selling to getting cash is the receivable period. Together, they make the operating cycle.

Author: ZB ZAIB

Lesson 41: Short-Term Financial Policy

In the name of Allah.

Concept: This is about how much cash and inventory to keep. A “flexible” policy keeps a lot of cash/inventory, while a “restrictive” policy keeps very little. **Daily Life Example:** Keeping a lot of extra groceries at home is a flexible policy (safe but costs money). Buying only what you need for today is a restrictive policy (saves money but risky if guests arrive).

Author: ZB ZAIB

Lesson 42: Short-Term Borrowing and Float

In the name of Allah.

Concept: Short-term borrowing is taking loans for less than a year. “Float” is the difference between the balance in your bank book and the actual balance at the bank due to check clearing time. **Daily Life Example:** If you write a check for Rs. 1,000 today, your book shows Rs. 1,000 less, but the bank only reduces it after 2 days when the check is cleared. That 2-day difference is “float.”

Author: ZB ZAIB

Lesson 43: Cash Management and Collections

In the name of Allah.

Concept: The goal is to collect cash as quickly as possible and pay it out as slowly as possible (without breaking rules). **Daily Life Example:** A shopkeeper who asks customers to pay via EasyPaisa (instant) but pays his electricity bill on the last possible date is managing his cash well.

Author: ZB ZAIB

Lesson 44: Credit Policy and 5 C’s

In the name of Allah.

Concept: Credit policy decides who gets to buy on “udhaar” (credit). The 5 C’s are Character, Capacity, Capital, Collateral, and Conditions. **Daily Life Example:** Before lending money to a neighbor, you check if he is honest (Character) and if he has a job to pay you back (Capacity).

Author: ZB ZAIB

Lesson 45: Inventory Management (EOQ)

In the name of Allah.

Concept: Economic Order Quantity (EOQ) is the perfect amount of inventory to order so that the total cost of ordering and storing is the lowest. **Daily Life Example:** If you buy a whole year’s supply of flour, storage is hard. If you buy every day, the travel cost is high. EOQ finds the “middle” amount that is cheapest.

Author: ZB ZAIB

Important Definitions (Whole Syllabus)

Term	Simple Explanation	Daily Life Example
Capital Budgeting	Planning for long-term investments.	Deciding whether to buy a new delivery van for your business.
Capital Structure	The mix of debt and equity used by a firm.	Buying a car with 30% your own money and 70% bank loan.
Working Capital	Money used for day-to-day operations.	Cash kept in the drawer to pay for daily tea and stationery.
Liquidity	How quickly an asset can be turned into cash.	Gold is very liquid; a house is not liquid because it takes time to sell.
Compound Interest	Interest earned on both the initial principal and the accumulated interest.	If you save Rs. 100 and get Rs. 10 interest, next year you get interest on Rs. 110.
Annuity	A series of equal payments at fixed intervals.	Paying a fixed monthly rent of Rs. 20,000.
Bond	A loan made by an investor to a borrower (like a company or govt).	Giving Rs. 10,000 to the govt and getting a fixed “profit” every 6 months.
Dividends	A part of a company’s profit paid to its shareholders.	A fruit shop owner giving a share of the day’s profit to his partner.
Market Value	The price at which an asset can be sold today.	The price you would get if you sold your mobile phone in the market right now.
Book Value	The value of an asset as shown in accounting records.	The original price of your mobile minus the “ghisawat” (depreciation) over time.
Risk Premium	The extra return expected for taking on extra risk.	A bank charging higher interest to a risky borrower than to a stable one.
Beta	A measure of how much a stock moves compared to the whole market.	If the market goes up 10% and your stock goes up 20%, it has a high Beta.

Term	Simple Explanation	Daily Life Example
WACC	The average cost of all the money a company has borrowed or raised.	If you borrow from two friends at different rates, the average rate is your WACC.
Operating Cycle	Time from buying raw material to getting cash from sales.	Time from buying milk to selling yogurt and getting the money.
Cash Cycle	Time between paying for raw material and receiving cash from sales.	The “gap” period where your own money is stuck in the business.
Float	Difference between bank balance and book balance.	Writing a check today that won’t be deducted from the bank until Monday.
EOQ	The order size that minimizes total inventory costs.	Ordering just enough milk so it doesn’t spoil and you don’t run out.
Standard Deviation	A measure of how much returns vary from the average (Risk).	If a business sometimes makes Rs. 100 and sometimes Rs. 10,000, it has high risk.
Agency Problem	Conflict of interest between owners and managers.	A manager buying a luxury car for himself using the company’s money.
Primary Market	Where new stocks or bonds are sold for the first time.	Buying a new car directly from the Toyota showroom.
Secondary Market	Where “used” stocks are traded between investors.	Buying a used car from another person on OLX.

Author: ZB ZAIB

100+ Conceptual Quizzes (Final Term Preparation)

1. What is the primary goal of a financial manager?

- **Answer:** To maximize the current value per share of existing stock.

- **Explanation:** Just like a shopkeeper wants to increase the value of his shop, a manager wants to make the owners (shareholders) richer.

2. Which decision involves choosing long-term investments?

- **Answer:** Capital Budgeting.
- **Explanation:** Like deciding whether to buy a new oven for a bakery to increase production.

3. What is the "Agency Problem"?

- **Answer:** Conflict of interest between shareholders and managers.
- **Explanation:** Like a driver using his boss's car for personal work without permission.

4. If NPV is positive, should we accept the project?

- **Answer:** Yes.
- **Explanation:** If you spend Rs. 10 and get back Rs. 12 in today's value, you made a profit.

5. What does a "Payback Period" of 3 years mean?

- **Answer:** It takes 3 years to recover the initial investment.
- **Explanation:** If you buy a rickshaw, you will get your initial cost back in 3 years of earnings.

6. What is "Double Taxation" in a corporation?

- **Answer:** Profits are taxed at the corporate level and then as dividends for shareholders.
- **Explanation:** Like the government taking a cut from a shop's profit and then another cut when the owner takes that money home.

7. Which risk can be eliminated by diversification?

- **Answer:** Unsystematic Risk (Specific Risk).
- **Explanation:** If you have 10 different shops, one shop catching fire won't ruin you completely.

8. What is “Beta” a measure of?

- **Answer:** Systematic Risk.
- **Explanation:** Like how much a boat moves when the whole sea has big waves.

9. What is the “Cost of Debt”?

- **Answer:** The interest rate a firm pays on its borrowings.
- **Explanation:** The “kiraya” (rent) you pay to the bank for using their money.

10. What happens to the price of a bond when interest rates rise?

- **Answer:** The bond price falls.
- **Explanation:** If new banks offer 15% interest, nobody will want to buy your old bond that only pays 10%, unless you sell it cheaper.

11. What is “Net Working Capital”?

- **Answer:** Current Assets minus Current Liabilities.
- **Explanation:** The “spare” money you have after planning for all your bills due this month.

12. What is the “Operating Cycle”?

- **Answer:** Inventory Period + Accounts Receivable Period.
- **Explanation:** The total time from buying potatoes to selling chips and finally getting the cash.

13. What is “Disbursement Float”?

- **Answer:** The time between writing a check and the bank deducting the money.
- **Explanation:** You gave a check to the landlord on Friday, but he won’t deposit it until Monday. You still have that money in the bank for 2 days.

14. What is “EOQ”?

- **Answer:** Economic Order Quantity.
- **Explanation:** The “perfect” number of items to order so you don’t pay too much for shipping or storage.

15. What are the “5 C’s of Credit”?

- **Answer:** Character, Capacity, Capital, Collateral, and Conditions.
- **Explanation:** The checklist you use before lending your bike to a friend.

16. What is a "Sunk Cost"?

- **Answer:** A cost that has already been incurred and cannot be recovered.
- **Explanation:** Money spent on a broken egg; you can't get it back, so don't let it affect your future decisions.

17. What is "Opportunity Cost"?

- **Answer:** The value of the next best alternative given up.
- **Explanation:** If you spend time sleeping, the opportunity cost is the study time you lost.

18. What is "Financial Leverage"?

- **Answer:** Using debt to increase potential returns.
- **Explanation:** Using a small stone and a long stick (lever) to lift a heavy rock. Debt is that stick.

19. What is "Liquidity"?

- **Answer:** The ease of converting an asset into cash without significant loss in value.
- **Explanation:** Cash is the most liquid; a customized painting is very illiquid.

20. What is "Capital Structure"?

- **Answer:** The mix of debt and equity a firm uses to finance its operations.
- **Explanation:** Like a cake made of 40% chocolate (debt) and 60% vanilla (equity).

(Note: Continuing with 80+ more conceptual questions in a similar format to reach 100+)

21. What is an "Annuity"?

- **Answer:** A series of equal payments at regular intervals.
- **Explanation:** Your monthly internet bill is an annuity.

22. What is "Compound Interest"?

- **Answer:** Interest on interest.
- **Explanation:** Like a snowball getting bigger as it rolls down a hill.

23. What is “Market Value”?

- **Answer:** The price at which an asset can be sold in the open market.
- **Explanation:** What a buyer is willing to pay for your used car today.

24. What is “Book Value”?

- **Answer:** The value of an asset according to the balance sheet.
- **Explanation:** The price written in your diary when you first bought your laptop.

25. What is “WACC”?

- **Answer:** Weighted Average Cost of Capital.
- **Explanation:** The average “price” a company pays for all its funding sources.

26. What is “Diversification”?

- **Answer:** Spreading investments to reduce risk.
- **Explanation:** Planting different types of crops so if one fails, others might survive.

27. What is “Systematic Risk”?

- **Answer:** Risk that affects the entire market.
- **Explanation:** A sudden change in government taxes that affects every business.

28. What is “Unsystematic Risk”?

- **Answer:** Risk that affects only a specific company or industry.
- **Explanation:** A fire in one specific factory.

29. What is “NPV”?

- **Answer:** Net Present Value.
- **Explanation:** The total value of a project in today’s money minus its cost.

30. What is “IRR”?

- **Answer:** Internal Rate of Return.
- **Explanation:** The interest rate at which you “break even” on an investment.

31. What is “Profitability Index”?

- **Answer:** Ratio of present value of cash flows to initial investment.
- **Explanation:** For every 1 rupee spent, how many rupees do you get back in today’s value?

32. What is “Capital Budgeting”?

- **Answer:** The process of managing a firm’s long-term investments.
- **Explanation:** Deciding whether to build a new factory or not.

33. What is “Working Capital Management”?

- **Answer:** Managing short-term assets and liabilities.
- **Explanation:** Making sure you have enough cash to pay your staff this month.

34. What is “Sole Proprietorship”?

- **Answer:** A business owned by one person.
- **Explanation:** A small “kiryana” store owned by a single uncle.

35. What is “Partnership”?

- **Answer:** A business owned by two or more people.
- **Explanation:** Two friends opening a cafe together.

36. What is a “Corporation”?

- **Answer:** A legal entity separate from its owners.
- **Explanation:** A big company like Toyota or Nestle.

37. What is “Limited Liability”?

- **Answer:** Owners are only responsible for the amount they invested.
- **Explanation:** If the company fails, the bank can’t take the owner’s personal house.

38. What is “Unlimited Liability”?

- **Answer:** Owners are personally responsible for all business debts.
- **Explanation:** If a sole proprietor's shop fails, he might have to sell his own car to pay the bills.

39. What is "Primary Market"?

- **Answer:** Where new securities are issued.
- **Explanation:** Buying a new phone directly from the company's launch event.

40. What is "Secondary Market"?

- **Answer:** Where existing securities are traded among investors.
- **Explanation:** Buying a used phone from a friend.

41. What is "Auction Market"?

- **Answer:** A market where buyers and sellers compete at a single location.
- **Explanation:** A "mandi" where people bid for the highest price.

42. What is "Dealer Market"?

- **Answer:** A market where dealers buy and sell for themselves.
- **Explanation:** A car showroom where the dealer buys cars and then sells them to you.

43. What is "Balance Sheet"?

- **Answer:** A snapshot of a firm's financial position at a specific point in time.
- **Explanation:** A photo of your wallet and bank balance taken right now.

44. What is "Income Statement"?

- **Answer:** A summary of revenues and expenses over a period of time.
- **Explanation:** A list of all your earnings and spendings for the whole month.

45. What is "Cash Flow Statement"?

- **Answer:** A summary of cash inflows and outflows.
- **Explanation:** Tracking exactly when cash entered and left your pocket.

46. What is "Current Asset"?

- **Answer:** An asset expected to be converted to cash within one year.
- **Explanation:** The stock of goods in a shop that will be sold soon.

47. What is “Fixed Asset”?

- **Answer:** An asset with a long life, like land or machinery.
- **Explanation:** The building where the shop is located.

48. What is “Current Liability”?

- **Answer:** A debt that must be paid within one year.
- **Explanation:** This month’s electricity bill.

49. What is “Long-term Debt”?

- **Answer:** A loan that is paid back over many years.
- **Explanation:** A 10-year house loan from a bank.

50. What is “Shareholders’ Equity”?

- **Answer:** The residual value of the firm after all liabilities are paid.
- **Explanation:** If you sell everything you own and pay all your debts, what’s left is yours.

51. What is “Financial Leverage”?

- **Answer:** The use of debt in a firm’s capital structure.
- **Explanation:** Using a loan to buy a bigger shop than you could afford with just your savings.

52. What is “Market Value vs Book Value”?

- **Answer:** Market value is current price; book value is historical cost.
- **Explanation:** A plot of land bought for 1 lakh (Book) might be worth 50 lakhs today (Market).

53. What is “Time Value of Money”?

- **Answer:** A rupee today is worth more than a rupee tomorrow.

- **Explanation:** 100 rupees today can buy more than 100 rupees can buy next year due to inflation.

54. What is “Present Value”?

- **Answer:** The current value of future cash flows.
- **Explanation:** How much a promise of 1000 rupees next year is worth to you today.

55. What is “Future Value”?

- **Answer:** The amount an investment will grow to over time.
- **Explanation:** If you put 1000 in a bank today, how much it will be after 5 years.

56. What is “Discounting”?

- **Answer:** Finding the present value of a future amount.
- **Explanation:** Working backwards from a future goal to see what you need today.

57. What is “Compounding”?

- **Answer:** Finding the future value of a present amount.
- **Explanation:** Watching your savings grow over time with interest.

58. What is “Ordinary Annuity”?

- **Answer:** Payments made at the end of each period.
- **Explanation:** Paying your salary to employees at the end of the month.

59. What is “Annuity Due”?

- **Answer:** Payments made at the beginning of each period.
- **Explanation:** Paying house rent at the start of the month.

60. What is “Perpetuity”?

- **Answer:** An annuity that lasts forever.
- **Explanation:** A scholarship fund that pays out every year from its interest forever.

61. What is “Coupon Rate”?

- **Answer:** The interest rate stated on a bond.
- **Explanation:** The fixed “munafa” promised on a prize bond or saving certificate.

62. What is “Face Value”?

- **Answer:** The amount paid back at the end of a bond’s life.
- **Explanation:** The 1000 rupees written on a 1000-rupee note.

63. What is “Yield to Maturity (YTM)”?

- **Answer:** The total return expected on a bond if held until it matures.
- **Explanation:** The actual profit percentage you make on a bond after considering its price and interest.

64. What is “Dividend Yield”?

- **Answer:** Dividend per share divided by stock price.
- **Explanation:** The “rent” you get from a stock compared to its price.

65. What is “Capital Gains Yield”?

- **Answer:** The percentage increase in the stock price.
- **Explanation:** Buying a stock for 100 and it becoming 110.

66. What is “Common Stock”?

- **Answer:** Ownership shares in a corporation with voting rights.
- **Explanation:** Being a part-owner of a company and having a say in its decisions.

67. What is “Preferred Stock”?

- **Answer:** Stock with fixed dividends and priority over common stock.
- **Explanation:** A special partner who gets his profit first before others.

68. What is “Incremental Cash Flow”?

- **Answer:** The change in a firm’s total cash flow as a direct result of a project.
- **Explanation:** The extra money a taxi driver makes if he works 2 extra hours.

69. What is “Erosion”?

- **Answer:** When a new project reduces the cash flows of existing projects.
- **Explanation:** If you open a new juice shop next to your old one, some old customers will go to the new one.

70. What is “Sensitivity Analysis”?

- **Answer:** Testing how NPV changes if one variable (like sales) changes.
- **Explanation:** Checking if your business will still be profitable if petrol prices go up by 10 rupees.

71. What is “Scenario Analysis”?

- **Answer:** Testing NPV under different sets of assumptions (Best case, Worst case).
- **Explanation:** Planning for what happens if the business is a huge hit or a total failure.

72. What is “Capital Rationing”?

- **Answer:** When a firm has limited funds and cannot invest in all positive NPV projects.
- **Explanation:** Having 10 good business ideas but only enough money to start one.

73. What is “Risk-Free Rate”?

- **Answer:** The return on an investment with zero risk (like govt bonds).
- **Explanation:** The interest you get from a government saving scheme.

74. What is “Market Risk Premium”?

- **Answer:** The extra return investors demand for taking market risk.
- **Explanation:** The extra profit you expect for starting a shop instead of just keeping money in the bank.

75. What is “CAPM”?

- **Answer:** Capital Asset Pricing Model.
- **Explanation:** A formula to calculate the required return on an investment based on its risk.

76. What is “Cost of Equity”?

- **Answer:** The return required by shareholders.
- **Explanation:** The profit percentage your partners expect from the business.

77. What is “Cost of Preferred Stock”?

- **Answer:** The fixed dividend divided by the stock price.
- **Explanation:** The fixed “hissa” you promised to a special investor.

78. What is “Tax Shield”?

- **Answer:** The reduction in taxes due to interest expense.
- **Explanation:** Since interest is an expense, it lowers your taxable profit, so you pay less tax.

79. What is “Optimal Capital Structure”?

- **Answer:** The mix of debt and equity that maximizes firm value.
- **Explanation:** The perfect recipe of debt and equity to make the company most valuable.

80. What is “Financial Distress”?

- **Answer:** When a firm has difficulty meeting its debt obligations.
- **Explanation:** A person struggling to pay his monthly committee or loan installments.

81. What is “Static Theory of Capital Structure”?

- **Answer:** Balancing the tax benefits of debt against the costs of financial distress.
- **Explanation:** Borrowing just enough to save tax but not so much that you go bankrupt.

82. What is “Pecking Order Theory”?

- **Answer:** Firms prefer internal funding first, then debt, and finally new equity.
- **Explanation:** Using your own savings first, then asking for a loan, and finally selling a share of your business.

83. What is “Inventory Period”?

- **Answer:** The time it takes to acquire and sell inventory.
- **Explanation:** How long a bag of flour stays in a bakery before it's used to make bread.

84. What is "Accounts Receivable Period"?

- **Answer:** The time between sale and collection of cash.
- **Explanation:** How long a customer takes to pay for the "udhaar" (credit) he took.

85. What is "Accounts Payable Period"?

- **Answer:** The time between buying inventory and paying for it.
- **Explanation:** How much time your supplier gives you to pay for the goods you bought.

86. What is "Cash Cycle"?

- **Answer:** Operating Cycle minus Accounts Payable Period.
- **Explanation:** The actual time your own cash is "stuck" in the business process.

87. What is "Carrying Costs"?

- **Answer:** Costs that increase with the level of current assets.
- **Explanation:** The cost of renting a bigger warehouse to store more goods.

88. What is "Shortage Costs"?

- **Answer:** Costs that decrease with the level of current assets.
- **Explanation:** The loss you suffer when a customer wants to buy something but you are out of stock.

89. What is "Cash Budget"?

- **Answer:** A forecast of cash inflows and outflows.
- **Explanation:** A plan showing how much cash you will have at the end of next month.

90. What is "Line of Credit"?

- **Answer:** A pre-approved loan amount a firm can use as needed.

- **Explanation:** A credit card for a business.

91. What is “Factoring”?

- **Answer:** Selling accounts receivable to a third party at a discount.
- **Explanation:** Selling your “udhaar” slips to someone else for immediate cash.

92. What is “Commercial Paper”?

- **Answer:** Short-term unsecured debt issued by large corporations.
- **Explanation:** A big company giving a “parchi” (note) promising to pay back in 3 months.

93. What is “Speculative Motive”?

- **Answer:** Holding cash to take advantage of unexpected opportunities.
- **Explanation:** Keeping extra cash in your pocket in case you see a great sale.

94. What is “Transaction Motive”?

- **Answer:** Holding cash to pay for daily expenses.
- **Explanation:** Keeping money for bus fare and lunch.

95. What is “Precautionary Motive”?

- **Answer:** Holding cash for emergencies.
- **Explanation:** Keeping “emergency money” in your dashboard.

96. What is “Lockbox System”?

- **Answer:** A system where customers mail checks to a post office box for faster collection.
- **Explanation:** Having multiple collection points so the money reaches the bank faster.

97. What is “Zero-Balance Account”?

- **Answer:** An account that maintains a zero balance, with funds transferred only when needed.
- **Explanation:** An empty wallet that you only put money into right before you pay for something.

98. What is “Credit Analysis”?

- **Answer:** Evaluating the creditworthiness of a customer.
- **Explanation:** Checking if a person is reliable before giving them something on credit.

99. What is “Aging Schedule”?

- **Answer:** A list of accounts receivable categorized by how long they have been outstanding.
- **Explanation:** A list of people who owe you money, showing who is 10 days late and who is 50 days late.

100. What is “Just-in-Time (JIT) Inventory”?

- **Answer:** A system where inventory is received only when it is needed.
- **Explanation:** Buying vegetables only when you are about to start cooking.

101. What is “ABC Inventory Approach”?

- **Answer:** Dividing inventory into groups based on value and importance.
- **Explanation:** Keeping a close eye on expensive jewelry (A) but not worrying much about cheap plastic beads ©.

Author: ZB ZAIB

THE END: Bazurgana Advices for you

AGRE MERI FILE POORI TAYARI KARNE KE BAAD KISI KA CGPA 3.9 SE THORA SA BHI NEECHE AAYATO MAIN KHAWABON MEIN AA KAR DARAOONGA.

ITNI MEHNAT SE BANAI HAI YE FILE. WO BHI BILKUL FREE, BINA KISI PAISON KE. AB SIRF ITNA KEHNA HAI APNE SAATH MUKHLIS HO JAO. APNE MAA BAAP KE SAATH MUKHLIS HO JAO. AUR TIME WASTE KARNA CHOR DO.

PLEASE YE BAAT SAMJH LO IS DUNYA MEIN AAP SE YA AAP KI JEET HAAR SE KISI KO FARQ NAHI PARTA SIWAY AAP KE AUR AAP KE MAA BAAP KE. IS LIYE IN SAB SOCHON SE NIKLO CONFUSION BAHANE SHORTCUTS SIRF MEHNAT PAR AA JAO. BAS.

DEKHO SHONY BACHO PYARE PYARE BACHO ACHAY TAREEKE SE LMS KE HANDOUTS PARHO KYUN KE SAB KUCH WAHI SE AATA HAI. AAP LOG SAB SE ZYADA TIME WASTE IS BAAT MEIN KARTE HO KE KONSI VIDEO DEKHEIN KIS KI BAAT SUNEIN KIS SE GUIDANCE LEIN KIS SE FILE LEIN YE SAB BAATEIN TOTAL TIME WASTE HAIN. INHI SOCHON MEIN AAP KE EXAMS AA JATE HAIN AUR GUZAR BHI JATE HAIN.

IS LIYEYE SAB CHOR DO CHUP KAR KE HANDOUTS PARHO HANDOUTS KO SUMMARIZE KARO AGAR HANDOUTS ZYADA LENGTHY LAGTE HAIN TO MAINE YE BHI SIKHAYA HAI KE UNKO KAISE SUMMARIZE KARTE HAIN. LMS KE LECTURES KO BHI SUMMARIZE KAR KE KAM AZ KAM EK DAFA ZAROOR DEKHO SAMJHO ANALYZE KARO. IS KE ALAWA LMS PAR BOHAT SAARA AUR BHI MATERIAL MAUJOOD HOTA HAI JO AAP APNI PREPARATION KE LIYE DEKHTE HI NAHI.

AB DECISION AAP KA HAI.

ZB ZAIB Ko Dyn Ijazat Hun Mai Sonny Lga Dudu Pee KE Tataa Byee FIAMANILLA

Author: ZB ZAIB
Contact: +92 300 5427579 / 03435583148
Final Note: Study hard, stay focused, and aim for that 4.0 CGPA!